Can Europe Close the AI Competitiveness Gap?

Your task. With your team, decide what could realistically be done about your assigned constraint on European AI competitiveness — and what could not, and why. Then report your conclusions to the class in two minutes.

The Five Team Assignments

1. **Capital.** Can European AI firms obtain enough private and public financing to start, grow, and remain in Europe?
2. **Compute and energy.** Can Europe build and operate enough affordable computing capacity, data centers, and electricity infrastructure?
3. **Market scale and commercialization.** Do fragmented national markets and weak links between research and business prevent European innovations from reaching customers at scale?
4. **Talent.** Can Europe train, attract, and retain the technical and managerial workers needed to build competitive AI companies?
5. **Regulation and coordination.** Do regulatory costs, differences in national implementation, and slow collective decision-making impede investment and adoption?

Activity Structure — 25 Minutes

1. **Team meeting — 15 minutes.** Discuss your assigned constraint using the questions below. Agree on one feasible intervention and one that sounds appealing but is unlikely to work.
2. **Class debrief — 10 minutes.** Each team has **2 minutes** to report: (a) how serious the constraint is, (b) one intervention that is feasible and why, and (c) one intervention that is not feasible and why.

Team Discussion Questions

Use the course readings and evidence from the preceding slides.

1. How serious is this constraint? What is the evidence?
2. What interventions could address it? List several possibilities before judging them.
3. Which of these are feasible, and which are not? Consider what each would require: money, political agreement among member states, time to build, and cooperation from private firms.
4. Why do the infeasible ones fail? Is the obstacle fiscal, political, technical, or something else?

Debrief Question

> Is Europe's central problem inadequate resources, fragmented markets, weak commercialization, regulatory costs, or the inability to coordinate solutions at sufficient speed and scale?